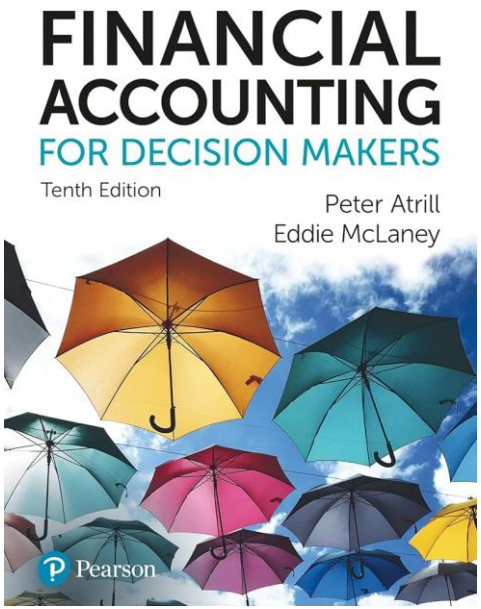
IT3120- Lecture 5 Introduction to Finance Accounting

Balance sheet, Profit and loss, Cash flows and ratios



Lecture Objectives

- Understand the **purpose of financial accounting** and its role in business decision-making.
- Explain the structure and key components of the **Balance Sheet, Profit & Loss Statement, and Cash Flow Statement.**
- Interpret financial statements to assess a company's **performance, position, and liquidity.**
- Calculate and analyze **basic financial ratios** to evaluate business health
- Apply accounting concepts to **real-world IT scenarios and project decisions.**

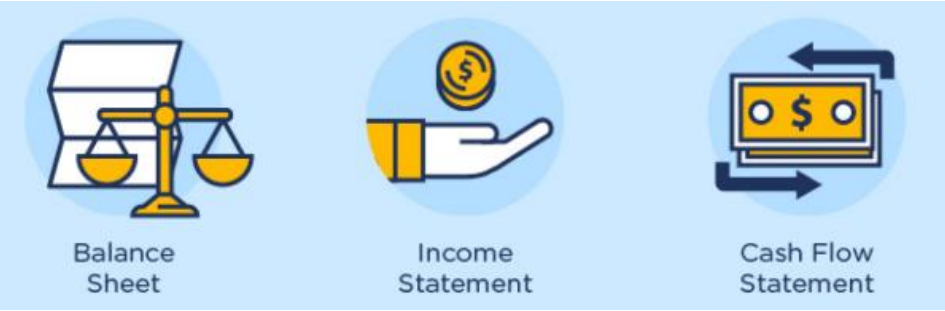
What is Financial Accounting?

Financial accounting is the process of **recording, classifying, summarizing, and reporting** the financial transactions of a business to provide useful information for decision-making.



What is Financial Accounting?

- Financial accounting prepares key financial statements (Balance Sheet, Income Statement, and Cash Flow Statement) for external users like investors and lenders, helping them understand a company's financial position, performance, and cash flow.
- It provides a structured way to communicate financial information.
- It defines how financial data supports decisions like **project investments, cost management, and evaluating business viability**.



Basic Financial Concepts

- Revenue/income
- Expenses
- Profit and loss
- Assets
- Liabilities
- Equity
- Cash flow
- Cost and expenditure



Revenue & Income

Revenue

The **total money earned** from selling products or services — before any expenses are deducted. Also called "top line."



Income

What remains **after subtracting expenses** from revenue. Often used interchangeably with "profit." Also called "bottom line."

Expenses & Expenditure

Expenses

Recurring costs required to keep the business running — salaries, rent, utilities, and supplies.



Expenditure

All money spent by the business. The terms overlap, but not all spending is an expense — buying equipment is an **investment**, not a daily expense.

Profit & Loss

Revenue − Expenses = Profit (negative result = Loss)

Profit

Revenue exceeds expenses. The business keeps the difference.



Loss

Expenses exceed revenue. The business is in the red.



Assets

Current Assets

Convertible to cash within **1 year** — cash on hand, accounts receivable, inventory.

Fixed Assets

Long-term resources — buildings, vehicles, machinery, and equipment used over many years.

Intangible Assets

Non-physical value — patents, trademarks, brand reputation, and goodwill.



Liabilities

Liabilities are **financial obligations** — money the business owes to outside parties.

Current Liabilities

Due within **1 year**: unpaid bills, short-term loans, credit card balances.

Long-Term Liabilities

Due **beyond 1 year**: mortgages, long-term bank loans, bonds payable.



Equity

Equity represents the **owner's stake** in the business — what would remain if all debts were paid off.

What Equity Includes

- **Owner's contributions** — money invested into the business
- **Retained earnings** — accumulated profits reinvested over time
- **Shareholder value** — in corporations, equity is divided into shares

Equity = Assets – Liabilities

Example : A business with $100K in assets and $30K in debt holds **$70K in equity**



In Class Activity 1

Fill in the Blanks by Considering the below equation

Equity = Assets – Liabilities

	Assets ($)	Liabilities ($)	Equity ($)
Business A		100,000	150,000
Business B	80,000		32,000
Business C	50,000	21,000	
Business D	85,000		(10,000)



Each of the following accounts is either Asset **(A),** Liability **(L),** Shareholders' Equity **(SE),** Revenue **(Rev)**, Expense **(Exp)** account. Mark the first blank with the appropriate classification – A, L, SE, Rev, Exp or Div. If you have identified an item as either an Asset or Liability, mark the second blank as "C" if the item is current, or "LT" for Long-Term.

	A / L / SE / Rev / Exp	**C / LT**
Long-term investments		
Accounts receivable		
Consulting revenue		
Computer		
Mortgage payable		
Cash		

Cash Flow

Positive Cash Flow

More money coming in than going out. The business can pay its bills, invest, and grow sustainably.



Negative Cash Flow

More money going out than coming in. A business can be profitable on paper yet still go bankrupt without available cash.

Key Financial Statements



Balance Sheet

Shows the company's **financial position** at a specific point in time, including assets, liabilities, and equity



Income Statement

Shows the company's **financial performance** over a period by reporting revenues and expenses to determine profit or loss.



Cash Flow Statement

Shows the **movement of cash** in and out of the business, highlighting its ability to generate and manage cash.



Balance Sheet

- The Balance Sheet provides a **snapshot of what the business owns, owes, and the value belonging to owners**, helping users evaluate the company's **financial stability, liquidity, and overall strength**.

- The Balance Sheet follows the fundamental accounting equation:

Assets = Liabilities + Equity

- Assets and liabilities are often further classified into **current (short-term)** and **non-current (long-term)** to show liquidity and financial structure.

Interpreting the Balance Sheet

The **Balance Sheet provides several key insights** into a business's financial health:

- **Financial position**: It shows what the business owns (assets) and owes (liabilities) at a specific point in time.
- **Liquidity**: By comparing current assets and current liabilities, users can assess the company's ability to meet short-term obligations.
- **Financial structure**: It reveals how the business is financed—through debt (liabilities) or owner's funds (equity).
- **Solvency and risk**: Higher levels of debt compared to equity may indicate greater financial risk.
- **Resource allocation**: Helps understand how effectively resources are invested in assets to support operations.

In simple terms: The Balance Sheet helps users evaluate the company's **stability, risk level, and ability to meet its financial obligations**.



Income Statement

- The **Income Statement** (also known as the **Profit and Loss Statement**) is a financial report that shows the **financial performance of a business over a specific period**.
- It outlines:
  - **Revenue:** Income earned from business activities
  - **Expenses:** Costs incurred in generating that revenue
  - **Profit or Loss:** The result after subtracting expenses from revenue
- The statement typically presents different levels of profit, such as **gross profit, operating profit, and net profit**, to give a clearer picture of performance.
- **In simple terms:** The Income Statement shows whether a business is **making a profit or a loss over a period**, helping users evaluate its operational success.



Profit Levels

- **Profit levels** refer to the different stages at which profit is calculated in the Income Statement to better understand business performance.
- The main profit levels are:

Gross Profit
Calculated as *Revenue minus Cost of Sales*; shows how efficiently a business produces or delivers its products/services

Operating Profit
Calculated as *Gross Profit minus Operating Expenses*; reflects profit from core business operations

Net Profit
The final profit after deducting all expenses, including finance costs and taxes

- These levels help users identify **where profits are generated or reduced** within the business.
- **In simple terms:** Profit levels break down total profit into stages, helping to analyze **operational efficiency and overall profitability**.

Key Insights from the Income Statement

- The **Income Statement provides key insights** into a company's financial performance over a period.
  - **Profitability**: Shows whether the business is making a profit or loss and how much
  - **Revenue generation**: Indicates the company's ability to generate income from its operations
  - **Cost control**: Highlights how efficiently expenses are managed in relation to revenue
  - **Operational performance**: Operating profit reveals how well the core business activities are performing
  - **Trends over time**: Comparing income statements across periods helps identify growth or decline
- The Income Statement helps users understand **how well a business is performing and where its profits are coming from or being reduced**.



In Class Activity 2

Multiple Choice Question

A small IT company reports the following:

Revenue = LKR 100,000	**Cost of Sales = LKR 60,000**
Operating Expenses = LKR 20,000	**Assets = LKR 150,000**
Liabilities = LKR 90,000	

What is the **Gross Profit**?

A. LKR 20,000

B. LKR 40,000

C. LKR 60,000

D. LKR 80,000



Multiple Choice Question

What is the equity?

Revenue = LKR 100,000	**Cost of Sales = LKR 60,000**
Operating Expenses = LKR 20,000	**Assets = LKR 150,000**
Liabilities = LKR 90,000	

A. LKR 60,000

B. LKR 90,000

C. LKR 150,000

D. LKR 240,000



Short Answer Question

Calculate the Operating Profit and briefly state what it indicates about the business.





Cash Flow Statement

- The **Cash Flow Statement** is a financial statement that shows the **inflows and outflows of cash within a business over a period**.
- It is typically divided into three main activities:
    - **Operating Activities**
    - **Investing Activities**
    - **Financing Activities**

Operating Activities



- These are **cash flows from the core business operations**.
- Cash **inflows**:
  - Payments received from customers (Ex: Software subscriptions, Service fees)
- Cash **outflows**:
  - Salaries to employees
  - Payments to suppliers (Ex: Cloud services, Tools)
  - Day-to-day expenses
- It shows whether the business can generate enough cash from its **main operations.**



Investing Activities

- These relate to **buying and selling long-term assets**.
  - Cash **outflows**:
    - Purchase of equipment, servers, software systems
    - Investment in new technologies
  - Cash **inflows**:
    - Selling old equipment or assets
- It shows how the business is **investing for future growth.**

Financing Activities



- These involve **raising and repaying funds**.
  - Cash **inflows**:
    - Loans from banks
    - Investments from shareholders
  - Cash **outflows**:
    - Loan repayments
    - Interest payments
    - Dividends to shareholders
- **It shows h**ow the business is **funded and how it manages its debt and equity.**

Why Cash Flow Matters?

- **Ensures liquidity**: Helps determine whether the business has enough cash to meet its short-term obligations.
- **Supports survival**: A company can be profitable but still fail if it runs out of cash.
- **Indicates financial health**: Strong cash flow shows the business can sustain operations and growth.
- **Improves decision-making**: Helps managers plan investments, expenses, and financing needs.
- The Cash Flow Statement shows **how cash moves in and out of a business**, and it matters because **cash is essential for day-to-day operations and long-term survival**.





In Class Activity 3

Multiple Choice Question

A small IT startup reports the following cash flows:

Cash received from customers = LKR 80,000	**Cash paid for salaries and expenses = LKR 50,000**
Purchase of equipment = LKR 20,000	**Loan received from bank = LKR 30,000**
Loan repayment = LKR 10,000	

What is the **Net Cash Flow from Operating Activities**?

A. LKR 20,000

B. LKR 30,000

C. LKR 50,000

D. LKR 80,000



Multiple Choice Question

Which of the following is an example of a **Financing Activity**?

A. Cash received from customers

B. Purchase of equipment

C. Loan received from bank

D. Payment of salaries



Short Answer Question

Cash received from customers = LKR 80,000	**Cash paid for salaries and expenses = LKR 50,000**
Purchase of equipment = LKR 20,000	**Loan received from bank = LKR 30,000**
Loan repayment = LKR 10,000	

Calculate the **Net Increase in Cash** and briefly explain whether the company's cash position is improving.



Financial Ratios

- **Financial ratios** are relationships between different figures in the financial statements, used to **analyze and interpret a company's financial performance and position**.





Profitability Ratio

- **Profitability ratios** are financial measures used to assess a company's **ability to generate profit relative to its revenue, assets, or equity**.

- Profitability ratios reveal how effectively a company converts revenue into actual profit — the ultimate measure of business success.



Liquidity Ration

- **Liquidity ratios** are used to evaluate a company's **ability to meet its short-term obligations using its short-term assets**.

- They focus on the relationship between **current assets** (cash, receivables, short-term investments) and **current liabilities** (payables, short-term loans, accrued expenses).



Efficiency Ratios

- **Efficiency ratios** (or activity ratios) evaluate how effectively a business **uses and manages its resources to generate revenue and support operations**.

- They mainly focus on how well the company manages its **working capital and assets**, especially in terms of time and turnover.



Gearing Ratios

- **Gearing ratios** assess the relationship between a company's **long-term debt and equity**, indicating how a business is financed and the level of **financial risk** it carries.

- They focus on whether the company relies more on **borrowed funds (debt)** or **owners' funds (equity)**. A commonly used measure is the **debt-to-equity ratio**, which compares total borrowings to shareholders' equity.



Financial Overview example – Dialog Axiata PLC

Financial Overview example – Dialog Axiata PLC

- Dialog Axiata PLC is a leading telecommunications and digital services provider in Sri Lanka, offering mobile, broadband, and IT solutions. It is widely used as a real-world example to understand financial statements and business performance.



Financial Overview example – Dialog Axiata PLC

1. Income Statement (Performance)

Item	Amount (LKR Billion)
Revenue	180
Cost of Sales	(90)
Gross Profit	**90**
Operating Expenses	(50)
Operating Profit	**40**
Net Profit	20

Financial Overview example – Dialog Axiata PLC

2. Balance Sheet (Position)

Item	Amount (LKR Billion)
Total Assets	286
Liabilities	220
Equity	**66**

Financial Overview example – Dialog Axiata PLC

3. Cash Flow Statement

Activity	Amount (LKR Billion)
Operating Cash Flow	+49
Investing Activities	(20)
Financing Activities	(10)
Net Cash Flow	**+19**

Financial Overview example – Dialog Axiata PLC

4. Profitability Ratios

Ratio	Value
Gross Profit Margin	50%
Net Profit Margin	11%

5. Liquidity Ratio

Ratio	Value
Current Ratio	2 : 1

Financial Overview example – Dialog Axiata PLC

6. Efficiency Ratios (Qualitative)

Measure	Insight
Receivables Collection	Fast (prepaid model)
Payables Period	Moderate

7. Gearing Ratio

Ratio	Value
Debt-to-Equity	2.3 : 1

Financial Overview example – Dialog Axiata PLC



Final Insight

This example of Dialog Axiata PLC highlights how different financial statements and ratios come together to provide a complete picture of business performance:

- **Strong profitability**

  The company generates solid profits, indicating efficient operations and a strong revenue base from telecom and digital services.

- **Positive cash flows**

  Healthy operating cash flows show that the business can generate enough cash to sustain daily operations and invest in future growth.

Financial Overview example – Dialog Axiata PLC



Final Insight

- **Good liquidity position**

  With a strong current ratio, the company is well-positioned to meet its short-term obligations without financial stress.

- **High but manageable gearing**

  The company relies significantly on debt financing, which is common in telecom businesses due to high infrastructure costs. While this increases risk, it also supports expansion and long-term growth.

- **Efficient operations**

  Fast cash collection and controlled payments indicate effective management of working capital and operational efficiency.

Financial Overview example – Dialog Axiata PLC

Overall Conclusion

Dialog Axiata demonstrates a **financially stable and well-performing business**, with strong operational performance, good cash management, and a balanced (though relatively high) use of debt to support growth.



Summary

- Financial accounting records and reports financial information to support decision-making.
- Key statements: Balance Sheet (position), Income Statement (performance), Cash Flow (liquidity).
- Users: Internal (managers) and external (investors, lenders) rely on this information.
- Financial ratios (profitability, liquidity, efficiency, gearing) help analyze business health.
- Accounting helps evaluate a company’s performance, financial position, cash flow, and risk.